



TR3203 Teaching Note

**NiaHealth: Scaling preventive
health without losing the human touch**

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Teaching Objectives

1. Understand how entrepreneurs make time-critical strategic decisions under uncertainty in emerging, regulated markets.
2. Utilize business analysis tools to evaluate how operational and product factors influence growth trajectories and weigh competing strategic priorities.
3. Learn how to diagnose the root cause of a growth plateau by distinguishing between acquisition, engagement, and retention constraints.
4. Recognize how product design decisions directly shape user engagement, retention, and long-term growth outcomes.

Case Synopsis

The NiaHealth: Scaling Preventive Health Without Losing the Human Touch case examines the strategic dilemma faced by Sameer Dhar, co-founder and CEO of NiaHealth, a Canadian health technology startup built to reimagine healthcare as a continuous, proactive system rather than a reactive one. Founded in late 2023 alongside co-founders Mike Goss (COO), Saif Uddin Mahmud (CTO), and Tanya ter Keurs (CCO), NiaHealth set out to bridge the gap between fragmented diagnostics and meaningful behavior change by combining advanced biomarker testing with personalized clinician guidance delivered through a technology-enabled dashboard.

By the summer of 2025, NiaHealth had achieved steady month-over-month revenue growth that many early-stage startups aspire to. They had successfully raised \$8.25 million CAD in total funding, achieved close to \$5M ARR, and a growing member base of around 15,000. Sameer had also pursued dual go-to-market strategies, piloting B2B partnerships with first responder organizations like the Toronto Fire Service and Toronto Police Service, while simultaneously launching a direct-to-consumer motion backed by a brand refresh, a new Chief Marketing Officer, and a distribution partnership with TELUS.

Despite these accomplishments, growth was not compounding. Monthly member additions, revenue per channel, and retention metrics were improving, but not at the velocity the team had projected. Reaching their 2026 goals required sustaining 15% month-over-month growth, yet current performance sat at only 8 to 10%. With D2C sales cycles stretching six to twelve months and B2B wins arriving in unpredictable bursts, Sameer needed to figure out a more sustainable growth engine. Upon deeper analysis of engagement data, he found that members found the product to be valuable only during the clinician consults, and not after that.

Facing this reality, Sameer knew that continuing to pursue both strategies at half-measure was no longer viable. Neither channel was delivering the compounding growth NiaHealth needed, and splitting focus was diluting both. He began weighing whether to go all in on the marketing infrastructure already in place, using existing D2C channels to aggressively push acquisition and drive volume. Or whether to pull back from growth spending and turn inward, giving members a product valuable enough to keep them engaged year-round.

It was the late summer of 2025 and Sameer had to commit to one path. Doubling down on marketing meant betting that more volume would compensate for the product's retention problem. Focusing on the product meant betting that a more compelling experience would eventually make acquisition easier and cheaper. He had to make a decision within the next few weeks in order to put NiaHealth's on the path to \$20 M ARR.

Key Decision Point

Should Sameer double down on direct-to-consumer marketing to drive user acquisition by investing more aggressively in marketing, paid channels, and top-of-funnel growth to drive member volume and accelerate revenue toward the \$20M ARR target? Or should he turn inward and prioritize making the product more compelling, investing in features that could close the behavioral loop, increase year-round engagement, and transform NiaHealth into a continuous, habit-forming health platform that drives organic growth?

Analysis

1. Pros and Cons Table

To begin my analysis, I started with a simple pros and cons framework for each strategic option, D2C marketing versus product investment, because before building any quantitative models, I needed to develop an intuitive sense of what each path actually offered and where the risks sat.

For the D2C double-down, the pros were appealing on the surface: existing systems are already built, paid acquisition funnels are relatively predictable, and it scales quickly in the short term. But as I mapped out the cons, I noticed that nearly every advantage was time-limited. Benefits are short-lived, growth is highly dependent on ongoing spend, and CAC and market saturation create a ceiling that gets harder to break through over time. This told me that D2C at its core is a treadmill: you have to keep running just to stay in place.

D2C Marketing (Double Down)	
Pros	Cons
Uses existing marketing channels and budgets	Requires continuous high spend to sustain growth
Fast to deploy and iterate	Benefits are short-lived
More predictable via paid acquisition funnels	Highly dependent on ongoing spend
Scales quickly in the short term	Limited by CAC and market saturation
Low complexity (already built systems)	Increasing effort to maintain performance over time

Figure 1: D2C Marketing Pros and Cons Table

The product investment side told a different story. The cons were real – there was high upfront costs, slow validation, uncertainty in early stages, and tight cross-team coordination. These aren't trivial risks for a company chasing 15% month-over-month growth. But the pros pointed toward something more durable: long-term efficiency gains, stable recurring value, and critically, scalability once product-market fit improves. The phrase "builds long-term leverage through product" stood out to me most. It suggested that unlike marketing spend, product investment compounds and produces sustainable results, which is what the company was looking for.

Product (Make it Magical)	
Pros	Cons
Investment leads to long-term efficiency	High upfront product and development costs
--	Slow to build, test, and validate
More stable and recurring over time	Uncertain in early stages
Highly scalable once product-market fit improves	Dependent on successful execution
Builds long-term leverage through product	High coordination across teams

Figure 2: Product Investment Pros and Cons Table

Taken together, the pros and cons analysis showed that D2C works in the short term but doesn't solve the underlying problem, while product investment is slower and harder but builds the kind of defensible, compounding engine NiaHealth actually needs to hit its long-term targets.

2. Decision Tree Analysis

Next, I constructed a decision tree analysis because I wanted to stress-test each strategic path by mapping out not just the intended outcomes, but the realistic downstream consequences of each choice, including what happens when things go wrong.

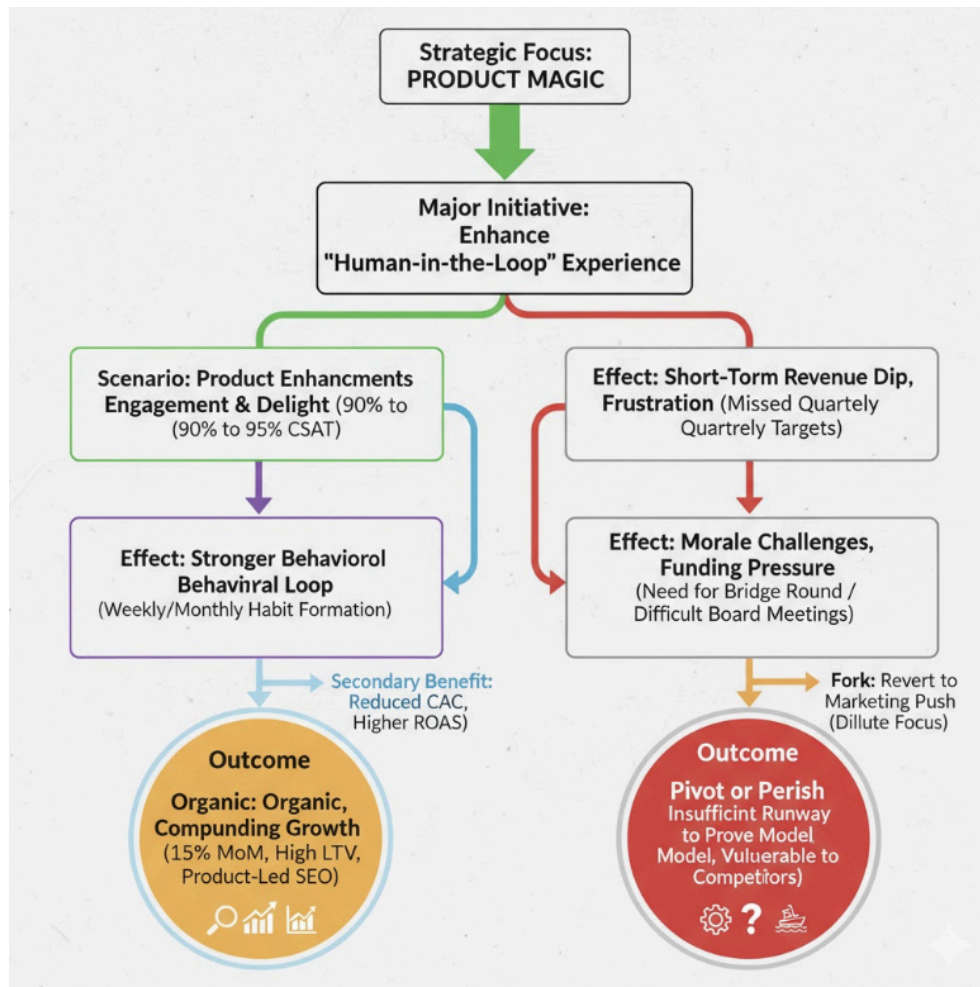


Figure 3: Product Investment Decision Tree

For the product magic path, the major initiative centered on enhancing the human-in-the-loop experience. I mapped two scenarios from this. The optimistic branch assumed product enhancements would drive engagement and delight, pushing CSAT (Customer Satisfaction Score) from 90% to 95%. This would in turn strengthen the behavioral loop, building weekly and monthly habit formation among members. The secondary benefit here was meaningful: reduced CAC and higher ROAS, because a product that retains and delights naturally generates referrals and organic acquisition. The end outcome I projected was organic, compounding growth at 15%

month-over-month with high LTV and product-led SEO. This is exactly the growth profile NiaHealth needs.

The downside branch of the product path was important to take seriously though. If execution stumbles, the short-term effect is a revenue dip and missed quarterly targets, which cascades into morale challenges and funding pressure, potentially requiring a bridge round and difficult board conversations. The fork at that point would be reverting to a marketing push, which dilutes focus and sets the company back. This told me that the product path carries real execution risk, but the upside is the only scenario that produces the compounding growth Sameer is targeting.

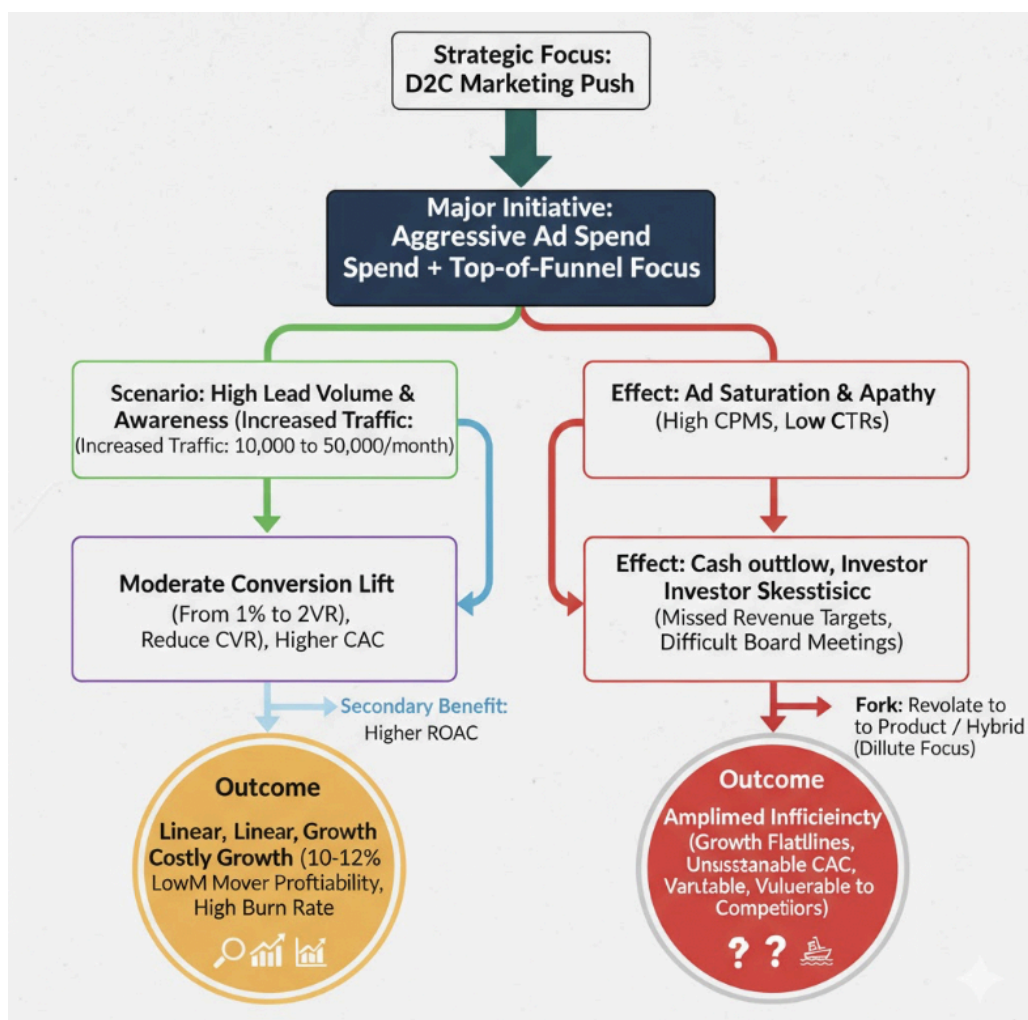


Figure 4: D2C Marketing Decision Tree

For the D2C marketing push, the major initiative was aggressive ad spend with a top-of-funnel focus. The optimistic branch projected high lead volume and increased

traffic, scaling from 10,000 to 50,000 visits per month, with a moderate conversion lift from 1% to 2%. The secondary benefit was higher ROAC. However, the outcome I landed on was linear growth of 10 to 12% month-over-month with low mover profitability and a high burn rate. Even in the best case, D2C gets NiaHealth close to but not at its 15% target, and at significant ongoing cost.

The downside branch was more alarming. Ad saturation and audience apathy drive up CPMs while click-through rates fall, leading to cash outflow and investor skepticism from missed revenue targets. The fork there mirrors the product path in reverse: pivot to product or a hybrid, again diluting focus. This reinforced my concern that D2C at scale amplifies inefficiencies rather than resolving them.

Taken together, the decision tree made the asymmetry between the two paths very clear. The product path has a harder road in the short term but leads to the only outcome worth building toward. The D2C path offers easier early traction but tops out below target and carries its own serious downside risks. This pushed me firmly toward the product investment recommendation.

3. Weighted Prioritization Matrix

Next, I built a weighted prioritization matrix because I wanted to move beyond qualitative intuition and evaluate each strategic path against a consistent set of criteria, with weights that reflected what actually matters for NiaHealth at this stage of its growth. The first step was deciding which considerations to include and how heavily to weigh each one. I landed on the following five criteria:

1. **Long-term sustainable growth**: how well each path builds a repeatable, compounding growth engine rather than one-off or spend-dependent gains.
2. **Customer acquisition efficiency (CAC)**: how effectively each path brings in new members without requiring disproportionate ongoing capital to sustain that acquisition.
3. **Short-term revenue velocity**: how quickly each path generates measurable near-term revenue to satisfy investors and preserve runway.
4. **Brand trust and member engagement**: how well each path deepens genuine member relationships, drives retention, and generates organic referrals over time.
5. **Regulatory agility and risk**: how much compliance exposure each path creates, and how well it allows the company to move carefully within Canada's regulated healthcare environment.

Long-term sustainable growth received the highest weight at 30%, because at its core, Sameer's problem is not short-term revenue, it is building a compounding, repeatable

growth engine. Customer acquisition efficiency, or CAC, came in second at 25%, because with \$8.25 million in total funding, NiaHealth cannot afford to burn capital on inefficient acquisition indefinitely. Short-term revenue velocity was weighted at 20%, acknowledging that the company still needs near-term wins to satisfy investors and maintain a runway. Brand trust and member engagement received 15%, reflecting how central the human-in-the-loop experience is to NiaHealth’s differentiation and retention. Finally, regulatory agility and risk was weighted at 10%, because operating in Canadian healthcare means that any misstep carries consequences beyond financial loss

With the criteria and weights set, I scored each path from 1 to 5. For D2C marketing, I gave it a 5 on short-term revenue velocity because paid acquisition does generate immediate top-of-funnel volume. But it scored a 2 on long-term sustainable growth, a 2 on CAC efficiency, a 3 on brand trust, and a 2 on regulatory agility, reflecting how dependent it is on ongoing spend, how quickly costs escalate, and how little it does to build genuine member relationships. Its total weighted score came out to 2.75.

For the product magic path, the scoring flipped. It scored a 2 on short-term revenue velocity, honestly acknowledging the slower ramp. But it scored a 5 on long-term sustainable growth, a 4 on CAC efficiency because a better product drives referrals and organically lowers acquisition costs, a 5 on brand trust and engagement, and a 4 on regulatory agility because a product-led approach is inherently more deliberate and less prone to compliance missteps. Its total weighted score came to 4.05, significantly outperforming D2C across the criteria that matter most.

Considerations	Weight (%)	Path A: D2C Marketing			Path B: Product Magic			Higher Priority
		Raw Score (1-5)	Weighted Score (Weight x Score)	Calculation	Raw Score (1-5)	Weighted Score (Weight x Score)	Calculation	
 Short-Term Revenue Velocity	20%	5	100	5 x 20 = 100	2	40	2 x 20 = 40	Path A
 Long-Term Sustainable Growth	30%	2	60	2 x 30 = 60	5	150	5 x 30 = 150	Path B
 Customer Acquisition Efficiency (CAC)	25%	2	50	2 x 25 = 50	4	100	4 x 25 = 100	Path B
 Brand Trust & Member Engagement	15%	3	45	3 x 15 = 45	5	75	5 x 15 = 75	Path B
 Regulatory Agility / Risk	10%	2	20	2 x 10 = 20	4	40	4 x 10 = 40	Path B
 Total (100% Total Weight)	100%	275 Total Weighted Score			405 Total Weighted Score			 Path B Higher Overall Priority

Figure 5: Weighted Prioritization Matrix

The result was clear. D2C prioritizes immediate volume but underperforms on every dimension that determines whether NiaHealth becomes a durable business. The product path is slower out of the gate but aligns strongly with long-term sustainable growth, efficient acquisition through engagement, and the kind of deep brand equity that makes a healthcare platform defensible over time. This matrix gave me the structured confirmation I needed to stand behind the product investment recommendation with conviction.

4. Net Change Analysis

CRITERIA		JUSTIFICATION
	Growth Potential (ability to spread / compound)	How likely is this to naturally spread, compound, or benefit from network effects over time?
	Retention Potential (likelihood of repeat usage)	How often will users come back, and does the product create strong habits or recurring value?
	Value Creation Strength (depth of user value)	How much meaningful value does the product deliver per use, and how critical is it to the user's workflow or life?
	Acquisition Efficiency Potential (e.g., organic growth, referrals, low CAC)	How easily and cost-effectively can new users be acquired (e.g., organic growth, referrals, low CAC)?
	Speed to Impact	How quickly can this idea deliver measurable results or demonstrate value after implementation?
	Execution Feasibility	How realistic is it to build and deploy this given current resources, time, and technical complexity?

Figure 6: Net Change Analysis Justifications

Next, I conducted a net change analysis because I wanted to evaluate the product magic path not against D2C as a binary choice, but on its own merits, specifically asking whether investing in the product would generate a net positive change for NiaHealth relative to where it stands today. This felt important because the real question Sameer faces is not just which option is better, but whether the recommended path is actually worth pursuing given its costs and risks.

I built the framework around six criteria, each designed to capture a different dimension of value creation:

1. **Growth potential:** how likely the product investment is to naturally spread, compound, or benefit from network effects over time.
2. **Retention potential:** how often users will return and whether the product creates strong enough habits or recurring value to keep them engaged year-round.
3. **Value creation strength:** how much meaningful value the product delivers per interaction and how integral it becomes to a member's health journey.
4. **Acquisition efficiency potential:** how easily and cost-effectively new users can be acquired through organic growth and referrals as a direct result of product improvements.
5. **Speed to impact:** how quickly the product investment delivers measurable, demonstrable results after implementation.
6. **Execution feasibility:** how realistic it is to build and deploy the proposed product improvements given NiaHealth's current resources, time, and technical complexity.

Evaluation Criteria	Weight	Magical Product (Proposed)	Weighted Score (Weight × Proposed)
Growth Potential (ability to spread / compound)	2	1	2
Retention Potential (likelihood of repeat usage)	3	2	6
Value Creation Strength (depth of user value)	3	2	6
Acquisition Efficiency Potential	2	1	2
Speed to Impact	1	-2	-2
Execution Feasibility	1	-2	-2
TOTAL	12	2	12

Figure 7: Net Change Analysis Scoring

For the scoring, I used a scale where positive scores indicate improvement over the current state and negative scores indicate a step backward. Growth potential received a score of 1, reflecting that the product path does improve compounding potential but the effect is gradual rather than immediate, giving a weighted score of 2. Retention potential scored a 2, reflecting a meaningful improvement over the current drop-off pattern members experience after the annual blood draw, giving a weighted score of 6. Value creation strength also scored a 2, reflecting how much deeper and more continuous the member experience becomes when the behavioral loop is properly closed, giving

another weighted score of 6. Acquisition efficiency scored a 1, reflecting modest organic improvement in referral-driven acquisition, giving a weighted score of 2. Speed to impact scored negative 2, honestly acknowledging that product investment is slow to show results, giving a weighted score of negative 2. Execution feasibility also scored negative 2, reflecting the real coordination complexity, upfront cost, and technical build time required, giving a weighted score of negative 2.

The total net change score came to positive 12. This told me that even after honestly penalizing the product path for its slower timeline and execution difficulty, the net effect of making this investment is strongly positive. The gains in retention and value creation alone more than offset the short-term costs, which gave me the final quantitative confirmation that the product magic recommendation is not just directionally right but worth the tradeoffs it demands.

5. Conclusion

Across all four analyses, a consistent picture emerged. The pros and cons table revealed that D2C is a treadmill requiring constant spend to sustain momentum, while product investment builds durable, compounding leverage. The decision tree stress-tested both paths and showed that even in the best case, D2C tops out below NiaHealth's 15% growth target, while the product path is the only scenario that gets Sameer where he needs to go. The weighted prioritization matrix confirmed this directionally, with product magic scoring 4.05 against D2C's 2.75 across the criteria that matter most at this stage. Finally, the net change analysis validated that even after penalizing the product path for its slower timeline and execution complexity, the investment produces a net positive score of +12, driven overwhelmingly by gains in retention and value creation. Taken together, the evidence consistently points in one direction: NiaHealth should prioritize making the product magical before scaling acquisition.

Recommendation

After analyzing all available data, the recommended course of action is for Sameer to prioritize product investment over aggressive D2C scaling. Until the behavioral loop is closed and members experience continuous year-round value, pouring more spend into acquisition will only amplify existing inefficiencies.

Epilogue

After a few weeks of deliberation, Sameer made the decision to focus on making the product more magical. Around the same time, the company experienced a leadership

shift, with the Chief Marketing Officer and a key growth team member stepping away. Rather than responding with aggressive acquisition tactics, the team chose to double down on what had always set them apart: the depth and impact of the product itself.

They began rebuilding from the inside out. Sameer and Saif hired a new frontend engineer who helped accelerate the rollout of features designed to deepen engagement. Simultaneously, the product manager launched a suite of MiniApps as part of a broader retention strategy. A Meal Tracker, Supplement Tracker, and Cycle Tracker gave members reasons to return to the platform year-round, rather than experiencing value only once at the time of their results. Among the most impactful new features was Nia Sync, which allowed members to integrate Apple Health data directly into their dashboard, making insights more continuous and personalized. The team also began experimenting with NiaCommunities, creating spaces where members could connect and feel supported beyond their individual health journeys, marking a shift from a transactional service to something more enduring.

The progress was real. From early 2026 into spring, revenue metrics were improving and retention rates were steadily climbing. Looking ahead, the team set their sights on \$20M ARR and a retention rate above 50% by year end. What had once seemed daunting now felt like a target they could actually hit, not by optimizing growth in isolation, but by continuing to make the product more magical, again and again.

Key Entrepreneurial Lessons Learned

1) Protect the “magic” of your product

My internship at NiaHealth fundamentally reshaped how I think about building startups, particularly in complex and regulated industries like healthcare. One of the most important lessons I learned was the importance of protecting the “magic” of a product. In an environment saturated with AI-driven solutions and automated platforms, it is easy to feel pressure to conform to industry trends. However, at NiaHealth, I observed that the true value of the product was not in automation, but in the human, clinician-in-the-loop experience. Sameer, Saif, and Tanya heavily emphasized that users found the most value from the clinician consults after their dashboard. This human touch was a key driver of member satisfaction and trust. It made me realize that while technology can enhance a product, it should not come at the cost of diluting the core experience that makes the product uniquely valuable. Long-term success comes from preserving and

doubling down on that core “magic,” rather than chasing what competitors are doing.

1. Never be afraid to break and rebuild

Another key lesson I learned was the importance of being willing to break and rebuild. In fast-moving startup environments, it is often tempting to iterate incrementally on existing systems to maintain momentum. However, I observed that the team at NiaHealth was not afraid to step back and rethink their approach entirely when something was not working. The dashboard, for example, went through multiple major iterations over time, each requiring significant rework and architectural changes. This taught me that progress is not always linear, and that true agility involves having the courage to abandon what is not serving the user, even if it means starting over. It reinforced the idea that flexibility and humility are essential traits when building in uncertain environments.

2. A great team makes a great company

I also developed a deeper appreciation for the role of team culture in driving a company’s success. While product and strategy are important, I observed that the strength of the team ultimately determines how far a company can go. At NiaHealth, the culture was highly collaborative and deeply aligned, with team members genuinely invested in both the mission and each other. Saif, Sameer, Tanya, Mike, and a few other leaders would often work together at Saif’s house and go on quarterly retreats to think about ways to improve the company. In fact, when I first joined Nia, I thought they were friends turned founders because of how well everyone seemed to get along. This created an environment where people were motivated not just by outcomes, but by shared purpose. I realized that when a team is strong, trust is high, and individuals feel supported, it becomes much easier to navigate challenges and sustain long-term performance. Culture, in this sense, is not just a “nice-to-have,” but it is a foundational driver of execution and resilience.

3. Solve for the human not the metric

Another important realization was the need to focus on the human problem rather than just the metrics. In many startups, it is easy to become overly fixated on numbers like growth rates, conversion metrics, or engagement dashboards. However, I learned that these metrics are ultimately reflections of human behavior. At NiaHealth, when growth became uneven or engagement did not scale as expected, the team did not try to optimize numbers in isolation. Instead, they focused on understanding the underlying user experience and the behavioral

shifts that occur throughout the journey. If they were purely solving for the metric, the team would have likely taken a different approach to solve the dilemma, which would have likely failed. This approach emphasized clarity, trust, and understanding over short-term metric improvements. It made me realize that sustainable growth comes from solving real human problems. If the user experience is strong, the metrics will follow naturally over time.

Overall, my experience at NiaHealth reinforced the idea that building a successful startup requires balancing multiple dimensions simultaneously – product integrity, adaptability, team dynamics, and user understanding. These elements are deeply interconnected, and neglecting any one of them can impact the entire system. The internship taught me that while frameworks and strategies are helpful, the reality of building in the real world is far more nuanced. It is about making thoughtful decisions under uncertainty, staying true to what makes the product unique, and continuously adapting to serve the user better.